The Walk-Away Pact

Property: _____ **Date:** _____

Part A: Before you fall for anything.

Takes in: nothing. Your nerve comes first.

Hands to: AS-02, AS-07, AS-14.

Attachment starts at the drive-by, not at earnest money. This pact splits you into two people: the calm one who signs today, and the hot one who will want the deal later. The first binds the second.

Lock 1: sign before first contact

Complete every line before you call the seller, the broker, or drive the park. One signature, one co-signer, no blanks.

1. Temperament: circle the one that owns you on a hot deal

- ☐ Fall-in-love-fast: I picture owning it before the numbers close.
- ☐ Spreadsheet-stubborn: I defend my model instead of reading new evidence.
- ☐ Auction brain: a competing bid makes me want it more.
- ☐ Sunk-cost loyal: money spent starts feeling like a reason to continue.

How I catch it early: _____

2. The money I am willing to lose

Maximum earnest money at risk ($): _____ **Maximum total sunk cost: legal, inspections, travel ($):** _____

3. Three deal-killers

The three findings that end the deal on sight. No debate, no monitoring, no second look.

Deal-killer 1: _____

Deal-killer 2: _____

Deal-killer 3: _____

4. Named accountability partner

One person who can call the walk when you cannot. Tell them the killers. Give them this page.

Name: _____ **Phone:** _____

Co-signer signature: _____ **Date:** _____

Two-page tool. Page 1: Lock 1, signed before first contact. Page 2: Lock 2, the Sunk-Cost Ledger, the change log, the ceiling-drift line, the visor card, and the broker script.

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Lock 2: sign after the normalizer closes

Fill this the day the Expense Normalizer (AS-08) closes. A walk price set before normalization is a guess.

Normalized NOI, from AS-08 ($): _____ **Target return / cap rate (%), set before the deal:** ____

Walk price = normalized NOI / target return

Walk price ($): the number above which I walk, no matter what: _____

The Sunk-Cost Ledger

Update at each milestone. Dollars and hours, both.

Milestone	$ spent	Hours	Total $ to date
First call			
Site visit			
Inspections			
Attorney and closing			

This number is not an argument.

Change log

Date	What changed	Written reason	Co-signer initials

Any edit after the site visit needs a written reason and the co-signer's initials.

Ceiling-drift line

Walk price at Lock 2 ($): _____ **Current bid ($):** _____ **Drift ($):** _____

If the bid moved and the pact did not, the pact lost.

The visor card (cut it out; it rides in the truck)

Walk price ($) / target return (%)
Deal-killers (3)
Co-signer / phone

What to say to the broker when you walk

"Thanks for the time on this one. The numbers did not hold up at my return, so I am stepping back. If the price or the evidence changes materially, I am a call away."

On a deal-killer: "One of my walk-away conditions showed up: [name it]. That is a walk for me. No hard feelings, and keep me in mind for the next one."

Short, final, kind. Never negotiate against your own pact.

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Worked example: Maple Bend Estates (fictional)

Fictional run of the pact on the Maple Bend running case: 48 lots, $1,650,000 ask, deposit-basis NOI $118,000.

Lock 1, as signed before contact

- Temperament: fall-in-love-fast. The catch: no offer talk until Lock 2 is signed.
- Max earnest money at risk: $25,000. Max total sunk cost: $15,000.
- Deal-killers: (1) water/sewer exposure over $50,000 after utility diligence; (2) the tax return will not tie to deposits; (3) the seller blocks manager interviews.
- Co-signer: signed, holding a copy of this page.

Lock 2: the walk price as a formula

- Normalized NOI from the AS-08 example: $76,470. That is deposit-basis NOI $118,000 minus $41,530 of costs the books missed.
- Target return, set before the deal: 8%.

Walk price = 76,470 / 0.08 = $955,875

- The $1,650,000 ask is a 4.63% cap on normalized NOI (76,470 / 1,650,000). It sits $694,125 above the walk price: 72.6% over the number.

The ledger and the drift line at the pass

- Sunk-Cost Ledger at the decision: $2,850 spent, 14 hours. This number is not an argument.
- Ceiling-drift line: walk price at Lock 2, $955,875. Current bid: none. Drift: $0. The pact held.

If the seller holds at the ask, the buyer walks and it WILL be logged as a pass in the Deals I Walked ledger (AS-25). Operators count passes as wins.

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The Doctrine

Every buyer thinks discipline is willpower. It is not. It is architecture. Professionals do not have more willpower than you; they make fewer decisions in the heat of the moment, because the decisions were already made. The Walk-Away Pact splits you into two people: the calm one who set the price and the terms, and the hot one who toured the park, met the manager, and started picturing ownership. The first binds the second, in writing, with a witness. The belief this shatters: that you will "know when to walk." You will not. The rule: the pact gets edited only with a written reason and a co-signer's initials, or it does not get edited.

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